

1. A careful selection of a few investments having regard to their cheapness in relation to their probable actual and potential *intrinsic* [emphasis his] value over a period of years ahead and in relation to alternative investments at the time;
2. A steadfast holding of these fairly large units through thick and thin, perhaps several years, until either they have fulfilled their promise or it is evident that they were purchased on a mistake;
3. A *balanced* [emphasis his] investment position, i.e., a variety of risks in spite of individual holdings being large, and if possible opposed risks.²⁸

Although he did not use the term, I believe it is clear from Keynes's investment policy that he was a focus investor. He purposely limited his stocks to a select few and relied on fundamental analysis to estimate the value of his picks relative to their price. He liked to keep portfolio turnover at a very low rate. And he aimed to include "opposed risks" by introducing a variety of economic positions concentrated in high-quality, predictable businesses.

How well did Keynes perform? During his 18-year stewardship, the Chest Fund achieved an average annual return of 13.2 percent, at a time when the overall UK market remained basically flat. Considering that the time period included both the Great Depression and World War II, we would have to say that Keynes's performance was extraordinary.

Even so, the Chest Fund endured some painful periods; in three separate years (1930, 1938, and 1940), its value dropped significantly more than that of the overall UK market. Reviewing Keynes's performance record in 1983, two modern analysts commented, "From the large swings in the Fund's fortune, it is obvious that the Fund must have been more volatile than the market."²⁹ Indeed, if we measure the standard deviation of the Chest Fund, we find it was almost two and a half times more volatile than the general market. Without a doubt, investors in the fund occasionally had a bumpy ride but, in the end, outscored the market by a significant degree.

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Lest you think Keynes, with his macroeconomic background, possessed marketing timing skills, take further note of his investment policy. "We